

Entrepreneurship & Small Business Management.

ETC 4271

Entrepreneurs.
market leaders.
opportunity oriented.
risk takers.

Businessman.
market followers.
profit oriented.

Introduction to Entrepreneurship.

- * To start a business require to identify a better business idea.
- * To develop an idea require to understand what customer believes about the product.
ex:- A runner believe the shoes should be soft, comfortable and flexible, when ^{nike} make their shoes. consider these beliefs of the runner
- * The success of the business not only depends on entrepreneurs. The entrepreneurs need to find out people who believe what entrepreneur believes. If entrepreneurs recruit the people who work for money will resign during the hard time.
ex:- If entrepreneurs believe customer satisfaction is most important thing than profits, require to recruit people who are in the same line.
- * Before implement the idea required to identify within "why customers purchase this product?"
- * Any business in the world there is a high possibility to fail within 1st 5 years period. Hence, entrepreneur require to go with his or her passion to hold the

business during this time.

23/09/2025.

status-quo - doham mawar .

Opportunity Identification.

Lesson 02: Recognizing opportunities and Generating ideas.

1. Observe the trends in the market

PESTEEL

P - Political E - Environmental

E - Economical E - Ecological

S - Sociological L - Legal

T - Technological

2. Find a solution for a problem.

3. Find a gap in the market

Problem

1. Provide 5 business opportunities you can start in your respective area.

2. What is the most suitable business you think which you can make good profit from above 5? Also provide

i) Who are the customers?

ii) How many customers in the area?

iii) Any competitors available?

Answer during this time.

28/09/2025.

Identify the business opportunities.

Identify the business opportunities.

Lesson 2: Recognizing opportunities and Generating ideas.

Observe the trends in the market

PESTLEEL

P - Political
E - Environmental
S - Sociological
T - Technological
L - Legal

Identify a solution for a problem.

Identify a gap in the market.

business opportunities you can start in your

most suitable business you think which you

profit from above 5? Also provide

customers in the area?

available?

Answers.

1. Accessories shop. (fartness cream, body lotion... etc)
2. Juice bar + milk shop.
3. Petrol shed.
4. Achcharu shop / Bites shop.
5. Shoes and bag centre for both male & female.

2- i) Accessories shop

NSBM students.

Villagers.

People who go through the road.

ii) Around 5000

iii) No competitors available.

Answers.

1. Juice bar with milk shop.
2. Clothing centre for men and women.
3. Achcharu shop and bite shop.
4. Heavy vehicles rent service
- 5.

Feasibility Analysis.

Identify the market gap.

Survey about the demand and supply.

Desirability of the product - ഉണ്ടാകാൻ കഴിയുന്നതോ എന്നും.

Product levels.

Core

Generic

Expected

}

Product's characteristics

Augmented - ഉപയോക്താക്കൾക്ക് വേണ്ടതായ കൂടുതൽ സൗകര്യങ്ങൾ.

Totally different from the competitors.

Potential product - വരാനിരിക്കുന്നതോ extraordinary.

കമ്പ്യൂട്ടറുടെ ഉദാഹരണം.

filling gaps ഉദാഹരണം.

future product ഉദാഹരണം.

Product → Desirability.
→ Demand.

Industry/Market → Sunrise - Industry developing upcoming products. Ex: LCD TV.

→ Sunset - Earlier products.

Ex: LED TV

Bargaining powers.

~~കുറഞ്ഞ~~ ~~ബാങ്കിംഗ്~~ ~~പ്രദ~~ power ഉണ്ട്.

Limited suppliers ഉണ്ട് power ↑

Limited buyers ഉണ്ട്

07/10/2025

No.

Date

Competitors.

- Direct
 - Other restaurants.
- Indirect
 - bread
 - Chun pan fellow.
 - Substitutes producers.
- Future

Organizational feasibility.

- Mgt pro
- Resources.

Financial feasibility.

- Attractive profits.
- Similar business performance
- Startup capital.

Business plan.

Summary

Comprehensive Assignment.

Operational.

Shouldn't be an AT generated

how the operation going on.

- mechanics.
- process chemicals.

sol - Business Idea.

feasibility study.

Outline of business plan.

- Executive summary
- Company description.
- Industry analysis.

- Market analysis.
- Marketing plan.
- Mgt team and company structure.
- Operation plan.

1. Executive summary.

business in a short overview about ex.

2. Company description.

Company history.
 capabilities.

worked experiences about the particular industry.

vision, mission, goals, objectives, strategies,
 (to be the best) plans.
 5-10 years.
 2015-2020.
 2021-2025.
 sell the product @ the beginning low prices.
 peak hour @ 2025.
 Actions to achieve the strategies.
 e.g. etc.

Legal status & ownership.

- Sole proprietorship.
- Partnership.
- Company
 → Pvt.
 → Plc.
 limited liability.
- Associations, clubs, societies.

3. Industry analysis.

speculation - good or bad

Key success factors - what are the key success factors

- Market analysis.
- Marketing plan.
- Mgt team and company structure.
- Operation plan.

1. Executive summary.

business in a short overview about you.

2. Company description.

company history. name. capabilities.

worked experiences about the particular industry.

vision, mission, goals, objectives, strategies.

(be the best)

honesty

plans
5-10 years
2024-2025
2026-2027

sell the product
@ the beginning
low prices
peak hours 200
2025-2026

practices
Adrian is
achieve the
strategies.
it, table

Legal status & ownership.

- Sole proprietorship: you own and liable

- Partnership: you own

- Company → Art
→ LLC. must pay more. liable
limited liability.

- Associations, Clubs, societies.

Industry analysis.

speculation - 2024-2025

Key success factors - what you need to do

Silva
Google, MS
resources share
2025 product
customer
long term prospects.

4. Market analysis.

Segmenting

Targeting

Positioning

- who are my customers.
people with babies in the homogeneous group.
babies in western for the first. 50k.
parents } product price place promotion distribution.
customers of 2000-3000.

5. Management team & company

a. Operations plan.

share your ideas. experience. cost. 200k.
container box 200k. 2024-2025. 2026-2027.

b. Financial projections.

4 weeks to submit

21/10/2025

Porter's five analysis.

Bargaining power

Rivalry among competitors.

→ saturated market crash of 2008.

→ sales dropped 80% over 2008.

Threats from new entrants.

Threat from the complement.

Ex: phone, ink, printer & cartridge.

Bargaining

power of suppliers →

Rivalry among competitors.

Bargaining

power of buyers

Threat from

substitutes.

competitor intelligence.

head hunting.

Developing an effective business model.

Business models.

✓ Advertising business model.

✓ Auction

✓ Franchise

✓ Premium

✓ Disruptive business model.

KFC - Carigills / Nestle.

market change to competitors @ 2008, 2009, 2010, 2011

market expansion. (Uber, Airbnb, etc.)

Business idea.

feasibility study.

business model.

Source market cost of doing
business edge to the firm.
Threat from new
entrants.

Barbary
power of buyers.

Threat from
substitutes.

Developing an effective business model.

Business model.

Following business model.

- Franchise
- Franchise
- Franchise
- Disruptive bus.

KFC - Corolla / Nestle.

market change to competitors @ 2020-2021 @ 2021

Uber, pickup

before this
possibly study
business model.

Core strategy.	
Business mission.	Basis of differentiation.
Target market.	Product/market scope.

Resources.	
Core competency.	Key assets.

cost leadership (1 firm) → Full market
→ single/visi market

Differentiation → FM
→ S.M.

Financials.	
Revenue streams.	

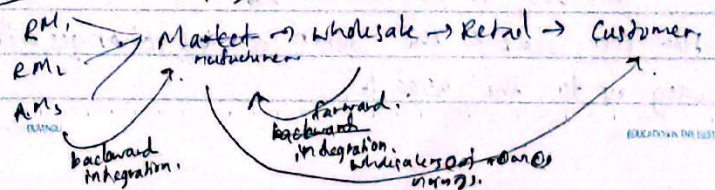
Operations.	
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Cost leadership

Ex: Suzuki.

- market share cost to grow 2x
 - wastage management
 - energy management
 - large market business
 - international market growth raw material costs
 - suppliers @ 2020 agreement 2021
 - technology 2020 cost reduction, waste 2021
- Supply chain.

Differentiation



Competitor Advantage.

Core competence.

Resources → tangible
→ intangible. - brand name.

2. Capabilities.

28/10/2025.

Register Business Ownership

a. Sole proprietorship.

1. Decide a business name & structure.
2. Start the business.
3. Prepared a required document (NIC, Tax reduction declaration, fill the registration application from divisional secretariat).

Lease or lease agreement of the business.

4. Obtain relevant approval, license

ex:- Restaurant - PHF.

Tourist hotel - Tourist board.

5. Submit the application to the Gramaniadhar in the respective area to obtain the concern.

6. Submit application to the relevant authority (divisional secretary) by paying the fees. based on the business type.

If the initial capital is less than 30,000 → 5000/-

300,000 - 500,000 → 10000/-

500,000 or above → 25000/-

However due to the other services, charges will vary up to the 35000/-

* Business will be registered under the business names ordinance 1918.

* Within 2 week period registration certificate will dispatch to the registered address of the business.

Disadvantages

- Owner is liable upto personal assets, tax pays from the owners.
- Ownership cannot transfer.

02. Partnership.

* The partnership can be started ~~2 to~~ min 2 & maximum covers 20.

* Covers under the partnership ordinance No. 21 of 1916 & business name ordinance No. 6 of 1986.

* Decide a business name.

- check the availability of the name (from the divisional secretary).

* Prepare the partnership agreement / partnership deed and should include.

- Name & address of the partner.

- business location, capital contribution, profit or loss sharing ratio

- admission or withdrawal of partners

- Responsibilities

- dispute resolution mechanism.

* Registration & other charges are similar to the sole prop partnership.

* For the sole proprietorship & partnership, after the registration.

- Required to take PEN number.
- If annual turnover above 80 million required to register for bank (VAT)
- Obtain a trade licence.
- EPF / ETF need to get registered.

* Partners are liable up to their personal assets.

03. Company.

* Companies are registered under the companies act No 07 of 2007 by the registrar company.

* Common types of companies.

1.) Private limited (Pvt)

at least one director and one shareholder (can be same or difference)

2.) Public limited (Plc) company.

Can offer to ^{the} share to the general public.

3.) Guarantee company.

Non profit or charitable organization.

4.) Unlimited company.

Liability is unlimited.

Steps.

1. Decide the type of business and name including shareholders and directors.
2. Develop articles of association.
3. Create a user account in EROC website and after check the availability of the name can reserve the name (fee 2000/-)

* For the sole proprietorship & partnership, after the registration.

- Required to take PIN number.
- If annual turn over above 80 million required to register for bank (VAT)
- Obtain trade licence.
- EPF/ETF need to get registered.

* Partners are liable upto their personal assets.

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Non profit or charitable organization.
- 4) Unlimited company.
Liability is unlimited.

Steps to be followed in registration -
1. the type of business and name including holders and directors.

2. articles of association.

3. a user account in EROC website and after the availability of the name can reserve the name (fee 2000/-)

4. With the name approval, register company will send following document.

Form 01: Application of incorporation (Company name, address, shareholders, directors, secretary details).

Form 18: Details of each directors.

Form 19: Details of company secretary.

5. Take printout of the above document & fill necessary column and upload to the given space with the certification of the secretary, NIC copies of the directors & the articles of the association & required to pay following:

Form 01 - 40,000/-

Form 18 - 1000/-

Form 19 - 1000/-

Article of association - 1000/-

Certification of copies - 1000/-

- After registration the company, required register the company IRN, VAT, EPF & ETF

- If the business is export oriented, registered under the BOI (Board of Investment)

NPA - 90 days ~~not~~ ^{not} ~~done~~ ^{done} 11/11/2015
Non-Performance A

Financial choices for startups.

Do take a loan.

* 60-40 rule :-

all your expenses including salary should be within the 60% of your salary.

EPF - 3%

EPI - 8%

all the deductions should be within 60% of the salary.

* income statement should be submitted.

* consider about the repayment capacity.

* CIBIL certification report, ~~how many~~ ^{clear} ~~discrepancies~~ ^{discrepancies}

Green -

Yellow -

Red - NPA > 90 days

bank ~~seize~~ ^{right off} ~~any~~ ^{property} ~~and~~ ^{sell} ~~it~~ ^{to} ~~settle~~ ^{the} ~~loan~~ ^{amount} ~~and~~ ^{the} ~~bank~~ ^{will} ~~not~~ ^{be} ~~able~~ ^{to} ~~recover~~ ^{the} ~~loan~~ ^{amount}

guarantee - ~~seen~~ ^{on} ~~guarant~~ ^{is} ~~given~~ ^{not}

indemnity - ~~any~~ ^{one} ~~who~~ ^{is} ~~not~~ ^{responsible} ~~for~~ ^{the} ~~loss~~ ^{incurred} ~~by~~ ^{the} ~~other~~ ^{party}

if ~~you~~ ^{the} ~~guarant~~ ^{party} ~~is~~ ^{is} ~~not~~ ^{responsible} ~~for~~ ^{the} ~~loss~~ ^{incurred} ~~by~~ ^{the} ~~other~~ ^{party}

* You should have a TIN (Tax Identification No) ~~and~~ ^{also} ~~get~~ ^{it}

business ~~plan~~ ^{plan}

Peer to peer lending -

~~document~~ ^{document} ~~is~~ ^{not} ~~required~~ ^{required}

lend - loan.

Crowd ~~Out~~ Funding.

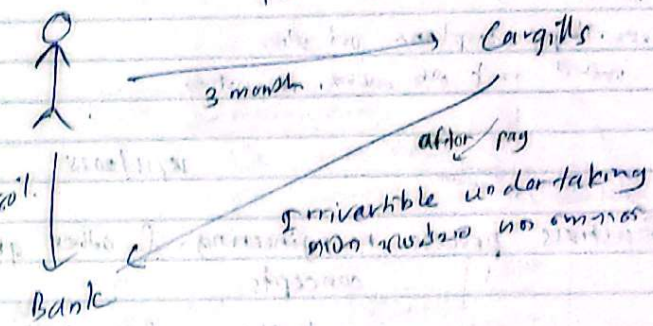
10000 x 100 = 1000000

Not asking for Security.

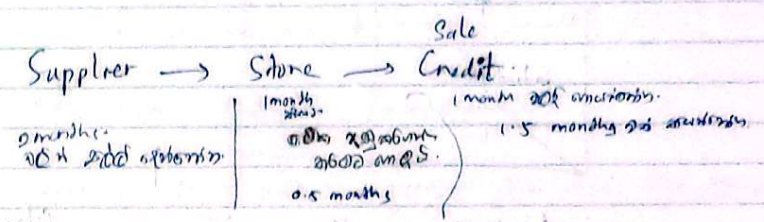
Money laundering - Black money → White money

Vendor financing

Factoring.



Cash conversion cycle.



Angel Investment

profit share ~~and~~ ^{and} ~~networks~~ ^{networks} ~~business~~ ^{business} ~~ideas~~ ^{ideas} ~~share~~ ^{share} ~~investment~~ ^{investment} ~~and~~ ^{and} ~~not~~ ^{not} ~~just~~ ^{just} ~~money~~ ^{money}

KAN CHU

profit goal & goal management year

Venture capitals.

asking for shares of the business.
like to invest on your business.

Seed capital - early investment in
research and dev.

goal of profit and growth.

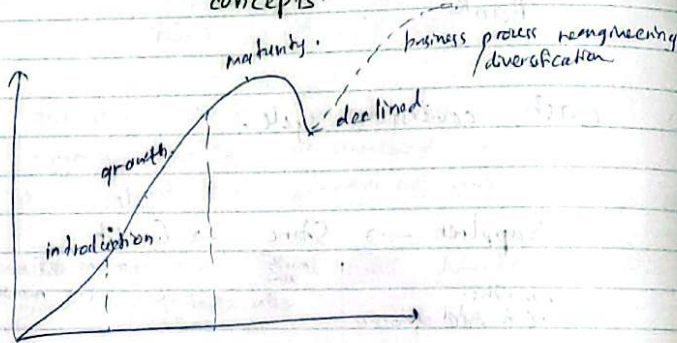
The syndicate.

insurance company.
ship, aeroplane and other
risk and insurance.

ship, aeroplane and other
risk and insurance.

18/11/2025

Business process reengineering & other growth
concepts.



any business in the world going like this.

marketing

viral marketing

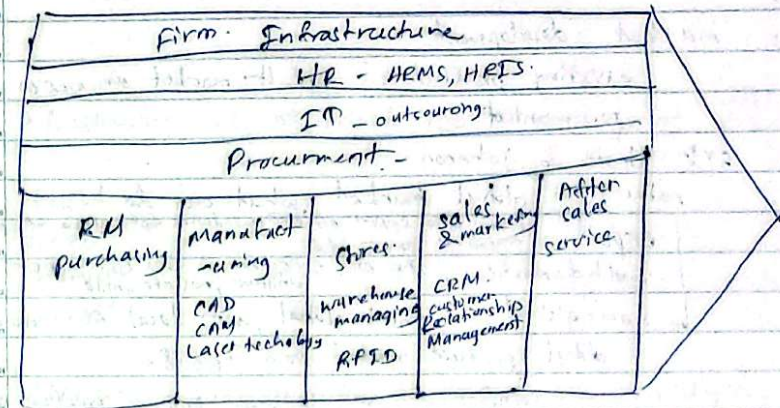
word of mouth marketing
like a person marketing their
product or service.

Guerrilla marketing.

low cost marketing strategy
like a person marketing their
product or service.
undercost marketing strategy.
like a person marketing their
product or service.
competitors and market.

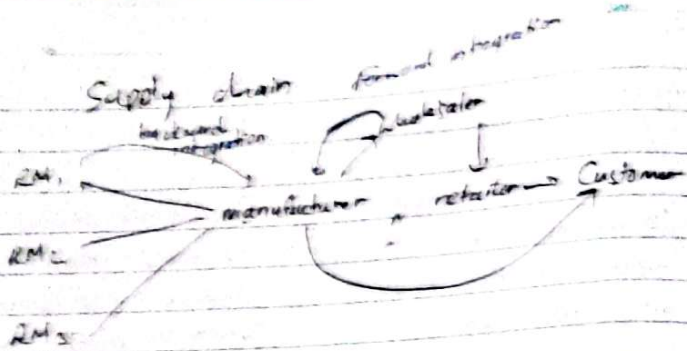
Value chain analysis.

- porter's



RFID - Radio Frequency Identification

Competitive strategies - business plan and implementation.



Ansoff matrix

(to sell)

- market penetration
 - existing market
 - sales increase
- market development
 - existing product
 - existing market
 - E.g. Postcard, Pizza hut
- market development
 - existing product
 - new market

McKinsey 7S framework

- enter into global market what can do
 - export - drive the export, mandarin, etc. after not possible, then use language
 - multi-domestic - for each country, have different products, like Unilever, Nestle, etc.
 - transnational - think global, act local, like concept in global product market, like McDonald's
- strategy - use different strategies in different markets

Diversification

related
same industry

BSI - BSI - BSI
BSI - BSI - BSI

unrelated

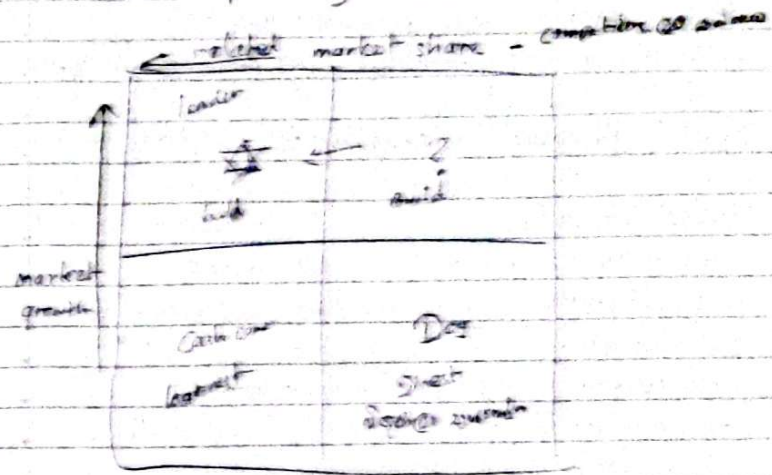
different industries

BSI - BSI - BSI

BSI - BSI - BSI

BCG matrix

product performing identification



infrastructure - electric vehicle and charging point

Build

hold

harvest

divest

Mergers & acquisitions + Cooperative strategies

large company, small company, etc.

Here is the answer

BSI - BSI - BSI

Acquisitions

Take - Jaguar, Range Rover

have shared

BSI - BSI - BSI

BSI - BSI - BSI

Practical system
idea and the BGA matrix and the good thing
it is, and the products and
how to start a business, and the good thing.

Small Business Management

Limited resources.

we have to manage our all works.

and the good thing is that the BGA matrix is a good thing.

and the good thing is that the BGA matrix is a good thing.

people learn from animals.

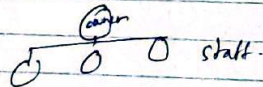
ex:- ants. and the good thing is that the BGA matrix is a good thing.

1. Planning - designing
2. Organizing - division of work and tasks.
3. Staffing - people assign work
4. Directing -
5. Monitoring & controlling - compare actuals & targets.
6. Controlling - if there are divisions, take the action.

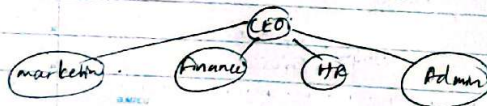
← gain the paper work.

Organization structures.

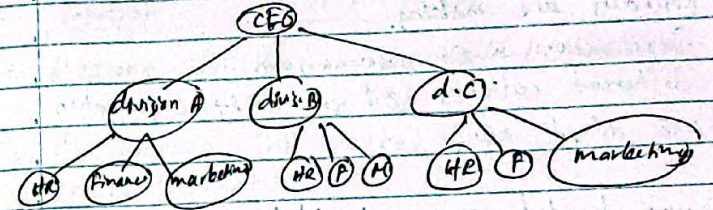
1. Simple structure



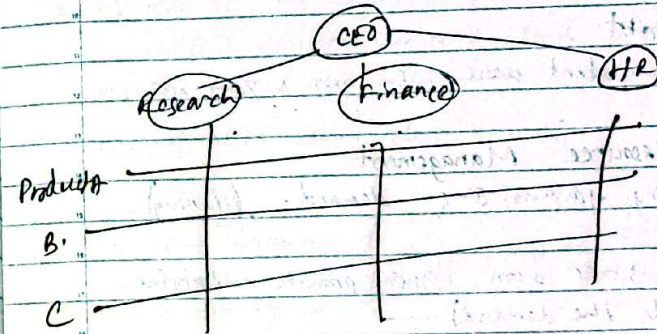
2. Functional structure



3. divisional structure



4. Matrix structure



5. Hybrid structure.

functional + divisional structure.

Management skills.

- Technical skills - give the solution & option.
- Conceptual skills - emotional bonding based with the organization.
- self supervised

Leadership vs management.

Leader Manager - Orders given.

Leader - give the work and the result.

Organizational Culture

Founders are making.

Socialization work jobs mng.

different cultures need to be

also adapt mng.

figure head person - should be able to control others.

organization

Copy Right

Copyright protect work within 5 years mng.

Human Resource Management

control day without any demand. (Planning)

Capacity.

Internal shift work mng. promote or transfer.

(estimate the demand)

Internal mng., do a job analysis.

Job design, Job specification.

To get an external person.

second was first 20 or 40% - 45 hrs.

annual leave - 14 days

probation / training

maturity leave - 84 days

returning

Reasons for the mergers & Acquisitions.

* To increase the market power.

* Reduce the risk.

* To introduce new products.

* To manage the regulatory issues.

TTA acquired jaguar & Land rover.

biggest reason, company culture - system system, paper work.

bill of lading

Shipping document

commercial invoice

per former invoice - probations mng.

importer

exporter

document

exporter bank account

importer bank account

release order

confirming bill

